I. Overview

This matter concerns Summit Components, Inc.'s alleged failure to timely deliver 2,000 SC-40 control modules to Horizon Manufacturing, LLC under a January 8, 2026 supply agreement. Although Summit ultimately delivered all 2,000 modules, the shipments arrived after the contractual deadline, prompting Horizon to seek replacement components and assert potential damages.

The principal disputes concern (1) the cause of the delayed deliveries, (2) whether Horizon's requested packaging modifications affected Summit's contractual obligations, (3) the existence and extent of recoverable damages, and (4) Horizon's outstanding payment obligations.

II. Contractual Background

On January 8, 2026, Horizon and Summit executed a supply agreement for 2,000 SC-40 modules at $42 per unit, totaling $84,000. The agreement required delivery to Horizon's Denver facility by February 15, 2026, FOB destination, and expressly made time of the essence. Any changes to specifications, packaging, or delivery dates required a written change order signed by both parties. (DOC-001, §§ 1–3).

The agreement permits commercially reasonable replacement purchases following material nonperformance and written notice, subject to applicable law and proof. It also generally excludes consequential damages, including lost profits. (DOC-001, §§ 5–6).

III. Material Facts and Disputed Issues

A. Production Delays and Causation

Summit's January 29 internal production report identified component shortages affecting 1,400 modules, with quality-control completion projected beyond the February 15 deadline. Nevertheless, on February 2, Summit represented to Horizon that delivery remained on schedule. (DOC-004–005).

On February 6, Horizon asked whether serial-number labeling could be added without affecting delivery or price, expressly offering to retain the original labeling if necessary. Summit responded that the change was probably feasible but did not confirm its effect on timing. (DOC-006–007).

On February 12, Summit acknowledged that the full order would be delayed, attributing scheduling difficulties to both a controller-chip shortage and the labeling modifications. Summit later maintained that the parties understood the labeling request would extend delivery expectations. (DOC-008, DOC-014).

The January 29 report establishes that substantial production problems predated Horizon's labeling request. No signed change order or documentation establishing an agreed deadline extension appears in the supplied materials.

B. Delivery and Performance

Westline Freight collected an initial shipment of 600 modules on February 14. Horizon's receiving records show that those modules arrived February 17 and were accepted February 18. (DOC-009–010).

The remaining 1,400 modules arrived March 3, approximately 16 days after the contractual deadline. Of those, 40 were placed on quality-control hold, with no final inspection determination included in the available records. (DOC-010, DOC-015).

These records substantiate late delivery, although the legal consequences of the delay and the treatment of the inspected modules remain for attorney evaluation.

C. Potential Damages and Outstanding Payment

On February 17, Horizon documented concerns that the delayed components might interrupt production and jeopardize a customer order. However, the memorandum provides no supporting customer agreement, production-loss calculation, or financial records establishing an actual lost sale. (DOC-011).

On February 20, Horizon accepted a replacement-supplier quote for 1,000 compatible modules at $59 per unit, plus $1,250 in expedited delivery charges, totaling $60,250. Compared with Summit's $42 unit price, the invoiced price represents a potential $17,000 purchase-price differential, before delivery charges. The present record does not establish that the replacement goods were delivered or paid for. (DOC-012).

Horizon formally alleged material breach on February 21 and reserved its right to seek direct damages. (DOC-013). Summit subsequently invoiced Horizon $84,000 for the original order, which remained unpaid as of March 6 pending quantity reconciliation and quality review. (DOC-015).

Any damages assessment must account for the contractual limitation on consequential damages, verification of the replacement transaction, and Horizon's outstanding obligations to Summit.

IV. Evidentiary Gaps and Recommended Follow-Up

The following evidence should be prioritized:

1. **Cause of delay:** Obtain Summit's component procurement records, production schedules, supplier correspondence, and packaging work orders to determine the relative contributions of shortages and labeling changes.
2. **Contract modification:** Request any signed change orders, internal communications, or additional correspondence concerning revised delivery expectations.
3. **Delivery and acceptance:** Obtain signed carrier delivery receipts, complete warehouse records, and the final disposition of the 40 modules placed on quality-control hold.
4. **Replacement transaction:** Obtain Front Range Controls' order confirmation, proof of delivery, payment records, and evidence of actual use or disposition of substitute goods.
5. **Alleged losses:** Request Horizon's customer contracts, production records, sales data, and supporting financial calculations to evaluate the existence and amount of claimed losses.
6. **Payment obligations:** Reconcile Summit's invoices, receiving records, outstanding amounts, and any proposed credits or offsets.

V. Preliminary Assessment

The available records support Horizon's position that Summit failed to complete delivery by February 15. Summit's internal production report also raises questions about its assertion that Horizon's subsequent labeling request materially caused the delay.

However, the record remains insufficient to determine the full causes of nonperformance, whether a contractual modification occurred, or the amount of recoverable damages. The replacement transaction, claimed downstream losses, unresolved quality-control hold, and unpaid original invoice warrant further investigation.

Recommended next step: Prioritize targeted document requests concerning production delays, the labeling modification, replacement procurement, and payment reconciliation before undertaking a definitive liability or damages assessment.

Prepared solely as a fictional paralegal work sample. All parties, documents, and events are simulated.